CIMA Management Case Study

Mock Exam 2

Flatthall

Suggested Solutions

How to use Astranti Solutions

What an Astranti Solution is for

Our solutions are designed to be **perfect answers**. This means that they cover every possible point in depth in order to serve as a learning tool.

This is so that, when you review your own solutions against ours, you can see what you got right and what you got wrong, what you covered in enough depth and what you missed out.

What an Astranti Solution is NOT for

Our solutions are not an example of what you should be able to achieve in the exam!

When you sit the real exam, you simply **won't have the time to write an answer as long as ours**. Perhaps you'll cover 75% of it, and this is completely fine as long as you have answered the question.

CIMA solutions

You may have noticed our solutions differ from the CIMA solutions. CIMA solutions to past exams are simply examples of a script that might have passed.

They do not prepare, guide or teach you how to improve your answers and increase your chances of passing. Ours do.

Industry examples

You'll notice that we've included real-world industry examples throughout the solutions. This is something you should be doing in your own solutions.

Examiners repeatedly emphasise the **importance of wider industry knowledge** and industry examples are the best way to earn the available marks in this area.

Task 1 - Solution

From: Financial Manager
To: Susanna Leong, Senior Financial Manager
Subject: Impact of proposals, and customer relations performance

Dear Susanna Leong,

The issue

Please find below my report concerning the impact of the proposals to construct affordable student housing and update our initial payment refund policy on relevant stakeholders and how to manage those stakeholders. This report will also contain an explanation of issues when designing non-financial performance indicators and a recommendation of suitable indicators for the Customer Relations department.

Sub-task (a) - 40%: Stakeholder management

1ai - Impact of the proposals on stakeholders and how they should be managed

The following are the most relevant stakeholders to be impacted by the two proposals discussed during the Board of Directors meeting held on May 1st, 2024. Included are recommendations for how these stakeholders might be managed.

Mendelow's Matrix is a useful model that can help with the analysis of stakeholder groups and identifying suitable methods for managing those groups. The model's analysis is based on the stakeholder's level of interest in the organisation's activities and their level of power to affect the organisation's activities. This model will also be incorporated into this analysis.

Students

Students are the primary consumers of Flatthall's accommodations, making their satisfaction and financial well-being pivotal to the company's success.

The low-cost PBSA (purpose-built student accommodation) proposal would offer students more affordable housing options, improving their education access and reducing financial pressure. While concerns about lower living standards may concern some students, the variety of choices should mitigate significant negative impacts.

Conversely, the initial payment policy could discourage rental commitments and financially burden those who cancel. This change seems solely negative for students, who will be keenly interested in how it affects their financial stability.

While individual students have limited influence over Flatthall, collective action through student unions could amplify their voices. According to Mendelow's Matrix, it's crucial to keep individuals with limited power but high interest well-informed and engage influential groups like student unions in decisions, ensuring they're part of the conversation to preempt potential discontent.

University partners

These institutions collaborate with Flatthall to provide housing for their students, making them key stakeholders in any changes to accommodation offerings.

Low-cost PBSA could enhance this partnership by providing superior, affordable options, potentially boosting enrolment and broadening higher education access. Conversely, non-refundable initial payments might alarm university partners, possibly deterring student enrolment over inflexible terms and prompting backlash from student groups advocating against perceived injustices.

Given their significant sway over housing decisions and commitment to affordable, equitable options, universities possess considerable influence and concern. They share a similar high power and interest level to student unions, warranting active involvement in Flatthall's decision-making processes.

Local government

Local government entities are stakeholders in how Flatthall's operations intersect with community interests and housing policies.

Local governments generally support initiatives like affordable student housing that advance educational access and affordability, though their backing hinges on alignment with their specific housing objectives. Beyond ensuring that the proposed non-refundable payment policy complies with consumer protection laws, local governments are unlikely to be too concerned with a policy like this.

For the affordable housing initiative, the local government is a high-interest, high-power stakeholder, emphasising the importance of involving them in development discussions. However, in relation to the payment policy, they would exhibit high power yet lower interest, so they just need to be kept satisfied regarding legal compliance.

Investors

Investors are vital for Flatthall, providing essential capital for its operation and expansion and keenly observing its profitability and market stance.

They might perceive the low-cost PBSA as a strategic investment for future market share despite potential short-term return trade-offs. They may be concerned by the potential brand impact if it is not managed effectively. They might regard the non-refundable payment policy as beneficial for slightly boosting revenue but remain cautious of any adverse public perception affecting Flatthall's reputation.

While individual investors might wield limited power, larger shareholders exert considerable influence and require direct involvement in strategic decisions. All investors, especially those with substantial stakes, should be actively engaged or adequately informed about decisions impacting Flatthall's direction and financial health.

Suppliers and contractors

These groups provide the materials and labour necessary for Flatthall to develop and maintain its properties, making their businesses directly tied to Flatthall's construction activities.

Any new projects, such as a low-cost PBSA development, would result in increased business, offering opportunities for growth and collaboration. However, they are less directly impacted by the payment policy change, though any resulting fluctuations in Flatthall's financial stability or reputation could indirectly affect their contracts.

The suppliers will have relatively low power over Flatthall since there are unlikely to be many that are too difficult to replace, and interest will range from low to high depending on whether or not the proposal impacts them. Where power and interest are both low, nothing needs to be done to manage them in relation to the project. Where their interest is higher, such as if they will be getting more business, they should be kept informed.

Employees

Flatthall's employees are integral to its operations, from strategic planning to daily management.

The low-cost housing proposal is unlikely to significantly impact the employees as this would just be a different style of construction. It may result in some changes to planning and some specific changes to the construction and marketing methods, but not too different from normal operations. The change in payment policy would likely increase the workload for Customer Service teams, necessitating enhanced support and training to deal with potential grievances.

While employees are influential collectively, they individually have little power in a medium or large organisation. Interest will vary between employees, as they may be interested in a change of policy or a new strategic direction, such as focusing on low-cost accommodation, regardless of the impact on them. Those with interest should be kept informed about the actions of the organisation, and those who are not interested may just not pay attention to the updates and continue doing their jobs.

Community groups

These local organisations have an interest in how Flatthall's developments affect community cohesion and infrastructure. They would generally support initiatives that provide affordable housing to students, benefiting the broader community. However, they might express concerns if they believe the non-refundable payment policy unfairly impacts students, potentially leading to advocacy for more favourable terms.

With low power and medium to high interest, these stakeholders should be kept informed of any relevant updates.

Financial institutions

Banks and other lenders play a critical role in financing Flatthall's projects, closely monitoring the company's financial health and risk profile. While they might view the expansion into low-cost PBSA as a positive venture that could stimulate longer-term growth, the shift to non-refundable payments could be seen as a way to improve cash flow stability, albeit with a need to assess any associated reputational risks carefully.

Their investment and financing decisions are vital for Flatthall's projects, so their power and interest would both be high. Maintaining transparent, regular communication to ensure their continued support and alignment with financial strategies is essential.

Conclusion

Both proposals offer paths to enhance Flatthall's profitability but present distinct challenges and implications for various stakeholders. Utilising Mendelow's Matrix for strategic stakeholder management, Flatthall can approach these changes thoughtfully, ensuring that stakeholder concerns are addressed while aligning with the company's strategic objectives.

Sub-task (b) - 60%: Non-financial performance indicators

1bi - Issues when designing NFPIs

In the dynamic landscape of purpose-built student accommodation (PBSA), the Customer Relations department plays a pivotal role in shaping the residents' experience and, by extension, the organisation's reputation. For Flatthall, which prides itself on providing superior student living environments, the efficancy of its Customer Relations department is integral to its success.

Non-financial performance indicators (NFPIs) offer invaluable insights into aspects of an organisation's operations that are not directly tied to financial outcomes. In Customer Relations, these indicators focus on the quality of service, customer satisfaction and operational efficiency – factors that significantly influence loyalty, brand perception, and competitive advantage.

When designing these indicators, several issues must be considered to ensure they are relevant, reliable and actionable, including the following:

Relevance

Indicators must align with Flatthall's strategic goals, such as enhancing customer satisfaction, improving service quality and maintaining a positive brand image for its important promotions. The NFPIs should reflect aspects of performance that the department can influence directly.

There's a risk of selecting indicators that are either too generic to provide actionable insights or so misaligned that they divert focus from core aims, such as improving customer service or enhancing resident satisfaction.

Clarity and simplicity

Clear, understandable metrics facilitate consistent measurement and interpretation, enabling staff at all levels to comprehend their contributions to departmental objectives. Crafting NFPIs that are both informative and intuitively understandable is no small feat. Overly complex metrics can lead to confusion, misinterpretation, and a lack of engagement from the team, undermining the very purpose they serve.

Quantifying qualitative aspects

Another significant hurdle is the quantification of inherently qualitative aspects like customer satisfaction or employee morale. The subjective nature of these factors necessitates robust methodologies to ensure reliable, consistent measurement, posing a challenge in both design and implementation.

Actionability

The utility of NFPIs hinges on their ability to inform meaningful actions. Identifying metrics that provide actionable insights requires a deep understanding of the operational nuances and potential levers for improvement within the Customer Relations department.

For these insights to be genuinely actionable within Flatthall, there needs to be a robust mechanism for drilling down into the data, identifying trends, anomalies or feedback themes that can inform targeted improvements. For example, if NFPIs reveal that response times to inquiries correlate strongly with overall satisfaction, the department can focus on streamlining processes or increasing staff resources during peak times.

Benchmarking

Establishing relevant benchmarks for NFPIs can be problematic, especially when industry standards are lacking or when internal historical data is insufficient or non-comparable. Without appropriate benchmarks, assessing performance and guiding improvement initiatives becomes significantly more challenging.

Considering Flatthall is one of the leaders in the quality-oriented Towlandian PBSA market, finding a comparable competitor, particularly one willing to share data, will be very challenging.

1bii - Suitable NFPIs for the Customer Relations department

With consideration given to the above challenges, the following non-financial performance indicators (NFPIs) are recommended for Flatthall's Customer Relations department.

Customer satisfaction index

This indicator will amalgamate various facets of customer feedback into a single, comprehensive metric reflecting overall resident contentment. For Flatthall, this could involve detailed surveys that explore different aspects of the living experience, from room quality to communal facilities and support services.

By dissecting this index into its constituent components, Flatthall can then pinpoint specific areas for praise or improvement, tailoring its strategies to boost resident satisfaction effectively.

Response time

Measuring the speed at which customer enquiries or complaints are acknowledged and addressed offers a direct gauge of the department's efficiency and customer focus. For Flatthall, shorter response times could signal a more agile and resident-centric service, enhancing overall satisfaction and loyalty. Monitoring this metric can help identify bottlenecks or resource deficiencies, informing decisions on staffing or process optimisation.

However, care must be taken to ensure that focusing on response times does not lead to prioritising speed or quality customer service. This metric should always be considered alongside other quality-focused measurements.

Resolution rate

The percentage of issues resolved on the first contact is a critical indicator of effectiveness and efficiency. A high resolution rate suggests that Flatthall's Customer Relations team is well-equipped and knowledgeable, able to address residents' concerns promptly and satisfactorily. This indicator also reflects the quality of training and resources provided to staff, guiding investments in professional development or support tools.

Customer retention rate

This metric predominantly reflects the outcome of effective customer relations. For Flatthall, maintaining or increasing the rate at which students choose to continue their residence or recommend the facilities to peers is a testament to their satisfaction and the quality of service received. It also influences the company's reputation and market appeal, which is crucial for long-term success.

Employee engagement

Engaged employees are more likely to deliver superior service, directly impacting customer satisfaction. Measuring engagement levels through surveys or other feedback mechanisms can identify areas where morale or motivation may be lacking. For Flatthall, addressing these areas can improve staff performance, reduce turnover and enhance the overall effectiveness of the customer relations department.

Training and development

Regular assessments of staff participation in and feedback on training programs can ensure that the team's skills and knowledge remain current. For Flatthall, this indicator not only underscores a commitment to employee growth but also aligns staff competencies with evolving customer expectations, ensuring the department remains adept at managing and exceeding resident needs.

Feedback utilisation

The degree to which customer feedback is gathered, analysed and acted upon can significantly impact service improvement and innovation. For Flatthall, this NFPI underscores a proactive approach to customer relations, where resident input directly informs service enhancements, policy adjustments and strategic planning, fostering a culture of continuous improvement and responsiveness.

Complaint escalation rate

Monitoring the proportion of customer issues that require escalation beyond the first point of contact offers insights into the initial effectiveness of the Customer Relations team. For Flatthall, a lower escalation rate indicates that frontline staff are well-equipped to handle most concerns, reflecting positively on training quality and operational efficiency. Conversely, a higher rate might signal areas needing improvement or additional support, guiding resource allocation and training initiatives.

Conclusion

In an industry where experience and satisfaction are paramount, NFPIs provide essential insights that can drive meaningful improvements in customer relations. By adopting the recommended indicators, Flatthall's Customer Relations department can enhance its service quality, align its activities with broader organisational objectives and contribute significantly to the company's reputation and success.

Task 2 - Solution

From: Financial Manager
To: Susanna Leong, Senior Financial Manager
Subject: Low-cost housing project

Dear Susanna Leong,

The issue

Please find below my report, in which I identify three major risks from the proposed affordable PBSA (purpose-built student accommodation) project and how to manage those risks. Please also find the discussion on the proposal's alignment with Flatthall's business model and sources of data that can help with making an informed decision on the proposal.

Sub-task (a) - 40%: Risk management

2ai - Identify three major risks of the low-cost PBSA proposal and how to manage them

Introduction

Flatthall's low-cost housing proposal aims to broaden the organisation's market reach by venturing into affordable student accommodations. While this initiative presents an opportunity to address the growing demand for economical living spaces among students, it carries several business risks that could impede its success.

Below are three major risks that may arise from this proposal, as well as suitable methods for managing those risks.

Market risk

One of the principal risks associated with the low-cost housing proposal is market risk. This encompasses the potential fluctuations in demand for affordable student housing, influenced by variables such as student enrolment numbers, economic conditions and competitive offerings. Given that the new building is positioned farther from the educational institutions compared with Flatthall's existing properties, there is a risk that the perceived inconvenience might deter potential tenants despite the lower cost.

To mitigate this risk, Flatthall should conduct comprehensive market research to understand the preferences and price elasticity of its target demographic. Surveys, focus groups and a market trend analysis could provide valuable insights into students' accommodation preferences and price sensitivity. Additionally, establishing strong partnerships with local universities could facilitate direct marketing to prospective tenants and possibly secure advance commitments, thereby reducing market uncertainty.

Flatthall could also consider diversifying its service offerings within the building, such as by incorporating additional amenities or services that enhance the value proposition for students, even if the rooms are smaller and less luxurious than those in Flatthall's other properties.

Operational risk

The operational risk for the low-cost housing proposal primarily pertains to the construction phase and ongoing management of the property. Vital challenges include adhering to the project timeline, staying within budget and maintaining quality standards despite cost-cutting measures. Moreover, managing a larger number of residents in a cost-effective manner, especially without a social floor to foster community engagement, could impact operational efficiency and tenant satisfaction.

Effective project management is crucial to address these concerns. Allison Jones, the designated Senior Construction Manager, should implement rigorous project management practices, including regular progress reviews, risk assessments and contingency planning. Ensuring that the construction phase is closely monitored and that any deviations from the plan are promptly addressed will be vital for timely completion within budget.

For ongoing operations, investing in staff training and leveraging technology for efficient property management can help maintain high service levels. Additionally, creating virtual community spaces or organising regular events could compensate for the lack of a social floor, fostering a sense of community among residents.

Reputational risk

Reputational risk is another significant concern for the low-cost housing proposal. The shift toward more basic and smaller accommodations could be perceived as a departure from Flatthall's known quality standards, potentially diluting the brand's market positioning. There's also the risk that if the new building fails to meet students' expectations, negative feedback could proliferate, especially given the viral nature of student communications and social media.

To manage this risk, Flatthall needs to ensure that its marketing communications transparently convey the value proposition of the new housing option, setting realistic expectations. Engaging with student influencers or representatives in promotional campaigns could lend authenticity and appeal to the target demographic.

Moreover, implementing a robust feedback mechanism to capture residents' experiences early on can help identify and address any issues promptly, preventing negative perceptions from escalating. Proactively showcasing any positive testimonials or case studies can also help to affirm the new property's reputation.

Conclusion

Flatthall's low-cost housing proposal, while strategically aligned with market demands for more affordable student accommodation, is fraught with business risks that necessitate thoughtful management. By adopting a proactive approach to understanding and addressing market risks, ensuring operational excellence, and safeguarding the company's reputation, Flatthall can navigate these challenges effectively.

Sub-task (b) - 60%: Business model alignment and sources of data

2bi - Alignment of the affordable PBSA proposal with Flatthall's business model

The strategic fit of Flatthall's low-cost housing proposal within the company's existing business model is crucial for its success. This report assesses the proposal's alignment across various stages of Flatthall's business operations, ensuring it complements the company's long-term objectives and market positioning.

Defining value

Traditionally, Flatthall has distinguished itself through superior accommodation quality. Introducing a budget-friendly option expands this proposition, targeting a segment that prioritises cost over luxury. Essential to this strategy's success is maintaining core standards that define Flatthall's reputation, ensuring affordability doesn't compromise essential living conditions, thereby sustaining trust and loyalty among this new customer base.

Flatthall will continue to provide safe and attractive accommodation to students in purpose-built properties, providing a relaxed environment for studying. So, while this has meant a focus on quality in the past, the existing value definition can remain the same based on the proposal.

Creating value

In Flatthall's framework, value is derived from quality construction in prime locations. The economical housing concept must uphold these pillars, albeit in a scaled-back form. Creative solutions are necessary to compensate for reduced amenities, possibly through innovative use of space, ensuring that, despite cost reductions, the essence of value that students associate with Flatthall persists.

The proposal is still to build the property where there is a demand for student accommodation that is not being met. Flatthall will now just be targeting different students' demands.

Delivering value

Flatthall's value delivery hinges on its relationships with higher learning institutions to promote its PBSA options. Further, Flatthall relies on its student tenants having good experiences and not only returning year after year but also recommending Flatthall to their peers.

Universities are likely to embrace a more affordable student housing solution being introduced in their area, so Flatthall should be able to rely on that positive relationship continuing to benefit its ability to deliver value. A more stripped-back service in the new premises may mean that students are not so forthcoming with praise. However, if Flatthall manages to meet or exceed expectations of quality within this lower-cost accommodation, there is no reason that students should not still want to return year after year or recommend it to their friends.

Capturing value

The current model for capturing value relies on students believing the rate they are paying to live in their Flatthall accommodation is fair according to the level of quality and service they are receiving. This aspect of the model would need to be adjusted slightly to account for the focus on cost efficiency rather than well-proportioned rooms and comfort - these should still be good, but proportionately less of a focus based on the reduced amount being paid.

Further, there will be no social space, so social activities will be less of a focus in this new building. As such, this aspect of capturing value will not apply at all. Flatthall will need to ensure that cost savings for students make up for the reduction in service here to ensure they still feel it is a 'realistic' rate to pay.

Conclusion

The proposed expansion into low-cost student housing presents a strategic opportunity and challenge for Flatthall. Overall, Flatthall's business model is flexible enough that this project should still fall within the current business model's parameters in the majority of areas. Where the proposal does not fit within the current business model, Flatthall should carefully consider how this aspect might be addressed specifically to maintain the required value and ensure success.

2bii - Sources of data for making a decision regarding the proposal

In evaluating the viability and potential success of the Flatthall low-cost housing proposal, leveraging various data sources is crucial to make an informed decision. The following are relevant sources of data for making a decision on whether to proceed with the project.

Market demand data

Understanding the target demographic's needs and preferences is paramount. Data sources such as student surveys, focus groups and feedback from existing Flatthall residents can offer direct insights into students' accommodation preferences and price sensitivities. Additionally, enrolment figures and forecasts from local universities could indicate the potential demand pool, while competitive analysis reports could provide context on how the proposed low-cost housing stands against alternatives in the market.

Financial feasibility data

Assessing the financial viability of the proposal requires a blend of internal and external data sources. Historical financial performance of existing Flatthall properties could establish benchmarks for expected revenue and cost structures. Real estate market analyses, including trends in property values and construction costs in Tert City, would offer external validation of the project's cost estimates and potential return on investment. Furthermore, financial models incorporating various scenarios could help evaluate the proposal's resilience under different market conditions.

Operational considerations data

Operational data from similar low-cost housing projects could provide practical insights into the challenges and efficiencies of managing such properties. This might include data on occupancy rates, maintenance costs and student satisfaction metrics. Additionally, consultations with urban planners and transport authorities could inform the feasibility and costs associated with establishing the dedicated bus route, ensuring the location's accessibility does not compromise its appeal or profitability.

Stakeholder feedback

Engaging with a broad array of stakeholders, including students, university administrators, local government officials and potential investors, can yield diverse perspectives on the proposal. Surveys, stakeholder meetings, and public consultation forums could be instrumental in gauging support, identifying concerns and uncovering additional factors that may influence the project's success.

Sustainability and environmental impact data

Incorporating sustainability and understanding environmental impacts are increasingly crucial in the real estate development sector. For the low-cost housing proposal, sourcing data on the environmental sustainability of similar projects can provide insights into best practices and potential challenges. This could include energy usage statistics, waste management practices and water conservation figures from existing low-cost housing units.

Additionally, environmental impact assessments from similar developments can offer valuable information on the potential ecological footprint of the proposed project and suggest mitigation strategies. Engaging with environmental consultants, reviewing industry sustainability reports and examining case studies can enrich the decision-making process, ensuring that the new development not only meets current environmental standards but also aligns with broader sustainability trends and expectations.

Conclusion

By incorporating these data sources into its decision-making process, Flatthall can form a well-rounded understanding of the low-cost housing proposal's potential impacts, benefits and challenges. This should thereby maximise the proposal’s chances of success.

Task 3 - Solution

From: Financial Manager
To: Susanna Leong, Senior Financial Manager
Subject: Property acquisitions dysfunction, financial reporting query

Dear Susanna Leong,

The issue

In the following report, I have addressed the requested discussion of appropriate conflict management methods for dealing with the conflict in the Property Portfolio division in support of Alan Burton, the newly appointed HR manager. I have also included in the report an explanation of how Flatthall's brand name and app creation costs should be treated in Flatthall's financial statements.

Sub-task (a) - 48%: Conflict management

3ai - Approaches for managing conflict between teams in the Property Portfolio division

The recent conflict between the Property Acquisition and Construction Management teams within Flatthall's Property Portfolio division has highlighted the need for effective conflict resolution strategies. Addressing this conflict is crucial not only for maintaining team morale and productivity but also for ensuring the efficiency and success of Flatthall's operations.

Understanding the conflict

Before delving into resolution strategies, it's essential to investigate and understand the conflict's nature. Based on Alan Burton's initial investigation, the disagreement stems from a communication breakdown and differing priorities: the Acquisition team focuses on cost-effective site purchases, while the Construction team prioritises the ease and cost of building. This discord has resulted in work delays and material errors, underscoring the need for immediate intervention.

The destructive nature of this conflict also rules out the suitability of promoting the generation of new ideas, as this could stimulate and encourage further conflict. Where the conflict is causing errors and halting work, it needs to be reduced or stopped through one method or another.

Recommended conflict-resolution strategies

Confrontation and problem-solving

Direct confrontation and collaborative problem-solving should be the initial steps in resolving the conflict. This approach encourages open dialogue, allowing team members to express their concerns and perspectives. Facilitated meetings where both teams can communicate their challenges and objectives can foster mutual understanding and identify common goals.

During these sessions, facilitated by a neutral HR manager or an external consultant, teams can collaboratively develop solutions that address both teams' needs, fostering a cooperative rather than adversarial relationship.

Considering that part of the conflict stems from communication issues, this indicates that encouraging the teams to communicate their difficulties might be a valid initial method for resolving the conflict.

Third-party consultants

Engaging third-party consultants can provide an unbiased perspective on the conflict, offering expertise in conflict resolution and organisational dynamics. These consultants can facilitate problem-solving workshops, conduct individual and group interviews, and propose strategies that might not be evident to internal stakeholders. Their external viewpoint can also lend credibility to the recommended solutions, increasing buy-in from both teams.

Arbitration and conciliation

If direct confrontation does not yield satisfactory results, arbitration or conciliation could be considered. Arbitration involves a neutral third party making a binding decision after considering all perspectives. In contrast, conciliation focuses on guiding the parties toward a mutually acceptable solution, with the conciliator playing a more advisory and mediating role.

While these approaches can resolve conflict, they should be considered only when collaborative efforts fail, as they do not always promote long-term cooperation and understanding. Where conflict has become personal or communication is an issue between the parties, engaging a third-party like this can be particularly helpful to overcome the initial reluctance to engage with the process and end the conflict.

Member rotation

Rotating team members between the Acquisition and Construction teams can foster empathy and understanding by providing firsthand experience of each team's challenges and workflows. This strategy can break down any silo mentality, promote cross-functional understanding and reduce the 'us vs. them' mentality, contributing to a more cohesive organisational culture.

This may be more suitable in some teams than others. Skills may not be entirely transferrable, so the ability of members of the opposing teams to work within the other team may be limited. However, even in the short term or with only a couple of team members switching, this could help to break down barriers.

Superordinate goals

Identifying and emphasising superordinate goals (objectives that are important to both teams and can only be achieved through their cooperation) can shift focus from conflict to collaboration. Aligning both teams toward common company-wide objectives, such as project success or customer satisfaction, can help reduce inter-team tensions and promote a sense of shared purpose.

Considering that one of the main sources of the conflict appears to be the seemingly opposing cost efficiency goals, setting up superordinate goals to focus the teams on the cost efficiency of the overall project and the success of the organisation would be appropriate here.

Training

Investing in conflict resolution and communication training can equip team members with the skills necessary to navigate disagreements constructively. Regular training sessions can improve team members' ability to express their views assertively, listen actively and engage in collaborative problem-solving, reducing the likelihood of future conflicts.

There may be resistance to engaging with this methodology, but if members of the teams can be made to buy into it, it could result in long-term improvements. Flatthall could also take the opportunity to provide training to other teams to prepare them and avoid destructive conflicts like this from arising in the future.

Fostering a culture of open communication

Creating channels for regular, transparent communication between teams can prevent misunderstandings and mistrust from escalating into conflict. Regular joint meetings, shared reports, and collaborative platforms can keep all parties informed, aligned, and engaged in ongoing dialogue.

Conclusion

The conflict between the Property Acquisition and Construction Management teams at Flatthall is a significant concern that may benefit from a multifaceted resolution approach.

By employing a combination of direEmployct confrontation, third-party intervention, strategic team restructuring, alignment around superordinate goals, targeted training and initiatives to enhance communication, Flatthall can not only address the current conflict but also strengthen its organisational resilience against future discord. Implementing these strategies will require commitment and collaboration from all levels of the organisation, underpinned by a clear recognition of the value of a harmonious, integrated team environment for the company's long-term success.

Sub-task (b) - 52%: IFRS 38

3bi - Accounting for brand name and app creation costs in the financial statements

Flatthall's brand name is a significant intangible asset, embodying the company's reputation, customer loyalty, and market presence. The recent development of the Flatthall app represents another substantial investment in the company's digital infrastructure and customer engagement capabilities. Understanding how these assets are recognised, measured, and reported in financial statements is crucial.

As an organisation operating within Towland and subject to its laws, Flatthall must prepare its financial statements in accordance with the International Financial Reporting Standards (IFRS). In particular, IFRS 38 - Intangible Assets applies in this situation.

Understanding IFRS 38 - Intangible assets

IFRS 38 outlines the accounting treatment for intangible assets that are not dealt with specifically in another standard. This includes recognition criteria, initial measurement, subsequent measurement and disclosure requirements.

Under IFRS 38, an intangible asset is identifiable, non-monetary and without physical substance, held for use in the production or supply of goods or services, for rental to others or for administrative purposes. To be recognised, an intangible asset must be likely to generate future economic benefits for the entity, and its cost can be measured reliably.

Treatment of Flatthall's brand name

The Flatthall brand name, as a critical asset, has considerable value attributed to its ability to attract and retain customers. However, according to IFRS 38, internally generated intangible assets like brand names cannot be capitalised unless they arise from legal or contractual rights.

Since most brand value is internally generated through marketing activities and customer relationships, it is typically not capitalised on the balance sheet unless acquired through a business combination. In such cases, the brand is recognised at fair value at the acquisition date.

For Flatthall, the brand name, since it was not acquired but grown from the organisation's founding in 1994, would not be recognised as an asset in its financial statements. Instead, ongoing costs to maintain or enhance the brand are expensed as incurred, reflecting the principle that the future economic benefits of brand-building activities are uncertain and the specific criteria for capitalisation under IFRS 38 are not met.

Treatment of Flatthall app development costs

The accounting treatment of the Flatthall app development costs involves distinguishing between the research phase and the development phase, as stipulated in IFRS 38. Costs incurred during the research phase (or the preliminary stage of the project) are expensed as incurred, as their association with future economic benefits is too uncertain.

Once the project reaches the development phase, Flatthall can capitalise the costs. The development phase is characterised by the app's design being technically feasible, Flatthall's intention to complete and use or sell the app, the app's ability to generate probable future economic benefits, the availability of adequate resources, and the ability to measure the costs reliably. The costs to be capitalised include those directly attributable to preparing the asset for its intended use, such as coding, testing and deploying the application.

After initial recognition, the Flatthall app would be reported on the balance sheet and amortised over its useful life, reflecting the pattern in which the app's economic benefits are consumed by the entity. Flatthall needs to assess the useful life of the app regularly and review the asset for impairment if there are indicators that its carrying amount may not be recoverable.

Conclusion

The treatment of Flatthall's brand name and app development costs in its financial statements under IFRS 38 highlights the differentiation between internally generated intangible assets and those that are developed to the point where future economic benefits are probable and reliably measurable.

While the brand name, as an internally generated asset, does not meet the criteria for capitalisation and is thus not recognised on the balance sheet, the Flatthall app's development costs, once they meet specific criteria, are capitalised and amortised over their useful life.

Adhering to IFRS 38 ensures that Flatthall's financial statements provide a true and fair view of the value and performance of its intangible assets, which is crucial for investors, stakeholders and regulatory compliance.

Task 4 - Solution

From: Financial Manager
To: Susanna Leong, Senior Financial Manager
Subject: Project plans and team

Dear Susanna Leong,

The issue

Please find in the following report an explanation of the supplied project management summary information along with recommendations for alterations to the plan that may benefit the outcome of the project. Please also find in the report a recommendation regarding the composition of the project team and analysis as to the suitability of Monga Mzuku in the role of project sponsor or project manager.

Sub-task (a) - 48%: Project management techniques

4ai - Explanation of project management information and recommendation

The Construction Management team has provided a brief summary of the construction element of the upcoming low-cost PBSA project. Included in the summary is a resource histogram and a few notes about the project that are relevant to understanding the constraints it faces.

Resource histograms

A resource histogram is a visual tool in project planning that shows the allocation of specific resources over time, presented with quantities on the vertical axis against time on the horizontal axis. Each bar illustrates the amount of a resource used or needed at various stages, aiding project managers in observing resource distribution and intensity of use throughout a project.

Resource histograms are instrumental for spotting times when resources are over- or under-utilised, aiding in optimising resource allocation. They enable managers to foresee potential bottlenecks, adjust workloads to prevent resource contention, and ensure the project progresses efficiently, staying within budget and time constraints. This visual representation is key to effective project management and resource optimisation.

Observations about the Flatthall project

End date

Upon reviewing the supplied resource histogram and associated notes, the first concern arises that the project is due to conclude in August 2027, but this would only be a month or so before the university semester begins and students would be ready to move in. As such, if there were any delays, this could prevent students from moving in or from the building opening that semester, which would likely lead to many rooms being left unfilled for the remainder of the year since most students would then have made alternative arrangements for the academic year.

While the project plan has been produced by Flatthall employees, who have years of experience working on construction projects, such projects often experience unforeseen or uncontrollable delays. Not to mention that this will be a different type of construction compared to the standard Flatthall properties, so unexpected difficulties may be more likely to arise.

Due to the noted prior commitments, the project presumably cannot be brought forward overall without interfering with the preceding project.

Inspection

The inspection has been planned for the final month of the project. Further review of this should be arranged following the provision of more information about the specifics of this activity. Based on the available information, this appears to be a final inspection following the completion of the previous stages of the construction project. If the inspection uncovers any issues, there would be no time for 'snagging' - the rectification of outstanding issues prior to the final completion of a construction project.

Either these issues could be allowed to remain when students move in, or students might need to start their residence amongst ongoing construction or decorating work. This would be highly disruptive to their studies, well-being and satisfaction and very much contrary to Flatthall's focus on providing relaxing accommodation.

Project constraints

Based on the above, there are concerns about the timeline of the project. However, based on the available human resources, there may be some flexibility in the timeline to condense some activities, but this would need to be reviewed by the construction specialists based on which tasks can be completed simultaneously.

However, assuming that some exterior work could be completed while some interior construction work was going on, months 11 and 12 could perhaps be combined, as the interior and exterior construction workers are distinct and could potentially both be working at the same time. Likewise, the landscape work could be done at the same time as the interior work without leading to a shortage of either interior or external construction workers.

Again, depending on the technical feasibility, there may also be the opportunity to condense some tasks, such as the structural frame construction. Currently it is set to take 40 staff four months to complete. This could potentially be shortened to two months of 55 staff and one month of 50 staff, based on the in-house available exterior construction workers. This may also be possible for other activities, such as the fixtures, fittings and finishes.

The use of agency staff could also potentially supplement Flatthall's internal resources to shorten the duration of some activities, but this could significantly increase costs due to the agency staff costing twice as much as the standard staff. Considering the purpose of the project is to provide low-cost accommodation, the project manager must remain vigilant of spiralling costs, as otherwise, the payback period will be extended and it could endanger the profitability of the project.

Recommendation

The project manager should review this plan to check if there are indeed any opportunities to shorten the timeline, providing a safer buffer at the end of the project and reducing the risk of the project overrunning and causing major issues for students or for Flatthall not receiving income until the next academic year.

Alternatively, the project manager should make enquiries to see if the previous project could be finished any sooner, or if some of the low-cost project could be started while the previous project is still being wrapped up to make the best use of the available workers and bring forward the completion date.

The plan should also be reviewed to consider the likelihood of remedial work needing to be carried out following the final inspection, perhaps based on similar projects in the past or industry standards. This may impact the completion time, and it will also require some construction labourers to return to the project, so they may not be able to move on to the next construction job.

Agency staff should be considered as a last resort based on the cost increase they would bring to the project. If they are required, they should be used sparingly, and an assessment of the impact of the additional costs on the project should be performed.

Sub-task (b) - 52%: Project team composition

4bi - Composition of the project team

The composition of the project team for Flatthall's low-cost housing initiative is crucial to its success. Selecting the right members across various departments ensures a holistic approach, addressing all facets of the project from conception to completion. While the project's core relates to property development, its implications extend across multiple departments, necessitating a broad representation to leverage diverse expertise and insights.

Recommended project team composition

Property Development department

Given that the project centres on construction, a key member from the Property Development department is essential. This individual will oversee all aspects related to construction, site selection and compliance with housing standards, ensuring the project aligns with Flatthall's quality and sustainability benchmarks.

Marketing department

A specialist from the Marketing department is critical for promoting the new housing units and communicating their value proposition to potential residents. Their expertise will be pivotal in market analysis, branding, and student engagement strategies, ensuring the project resonates with the target demographic and achieves optimal occupancy rates.

IT department

The IT department's involvement is crucial for integrating any digital solutions or platforms that might support the housing project, such as online booking or virtual tours. An IT representative will address technical infrastructure needs, ensuring robust support systems for both the construction phase and the operational life cycle of the PBSA.

HR department

HR representation is important for managing workforce planning within the project, particularly in recruiting and training staff who will manage and maintain the housing facilities. HR can also facilitate communication and change management processes within Flatthall, ensuring alignment and engagement across departments.

Finance department

Inclusion of the Finance department is vital for budget oversight, funding acquisition and financial analysis. Their expertise will ensure the project remains financially viable, with effective cost control and investment appraisal processes in place.

Legal department

Legal counsel is essential to navigate zoning laws, regulatory compliance and contractual obligations, especially given the scale and impact of the housing project. Their guidance will mitigate legal risks and facilitate necessary approvals and permits.

Customer Relations department

This department's involvement ensures that tenants' needs and expectations are considered throughout the project, fostering a resident-centric approach. They can provide insights into student preferences, feedback on proposed designs, and strategies for community building, especially given the intended lack of a communal social space.

It will also be the role of the Customer Relations team members to liaise with the university to make sure that the institution and its students are sufficiently informed to promote and investigate Flatthall's new low-cost accommodation to the student body.

Conclusion

The success of Flatthall's low-cost housing project depends on a collaborative effort across multiple departments, each bringing specific expertise and perspective. By involving representatives from Property Development, Marketing, IT, HR, Finance, Legal and Customer Relations, the project team can address all critical aspects, ensuring the initiative is well-conceived, executed efficiently and meets Flatthall's strategic objectives.

4bii - Project roles

The success of any project at Flatthall, such as the low-cost PBSA project, hinges significantly on the roles played by the project sponsor and project manager. This report will discuss the responsibilities of these roles and whether Monga Mzuku, Flatthall's Information Technology Director, is suited to assume either position.

Project sponsor

The project sponsor holds overarching accountability for the project, ensuring it aligns with the strategic objectives of the organisation and has the necessary resources for its fruition. The sponsor champions the project at the executive level, providing direction, securing funding and facilitating high-level stakeholder engagement.

Considering Monga Mzuku for the project sponsor role, his expertise is primarily in IT, which might not directly correlate with the core objectives of the low-cost housing project. While his executive position grants him influence and the capacity to allocate resources, his less direct connection to the core business functions involved in this project, such as property development and management, might limit his effectiveness in this strategic, guiding role. The project sponsor for such a project would ideally have a deeper alignment with Flatthall's property portfolio strategy and operational focus.

Project manager

Distinct from the project sponsor, the project manager oversees day-to-day project execution, managing timelines, resources, and team coordination. This role serves as the linchpin between the project team and the sponsor, translating strategic vision into operational reality.

While Monga Mzuku's IT leadership background equips him with project management skills, particularly in the context of IT projects, the specific demands of the low-cost PBSA project may fall outside his expertise. Moreover, his senior role and existing responsibilities could preclude the level of daily operational involvement required of a project manager. Given the project's scope, a manager with experience in construction, property development or a related field would likely be more appropriate, ensuring that project objectives are met efficiently and effectively.

Recommendation

Given the context, Monga Mzuku is better suited for a supportive or consulting role rather than acting as the project sponsor or manager. His IT expertise could be invaluable in integrating technological solutions or overseeing the digital aspects of the housing project, such as resident services or operational systems. However, leadership should come from individuals with direct experience and a stake in the project's core focus areas.

.

Marking Matrix

Task	Topic	Core activity	%	Marks	Total
1a	Stakeholder management	E	40	10	25
1b	Non-Financial Performance Indicators	C	60	15	
2a	Risk management	D	40	10	25
2b	Business model alignment and sources of data	A	60	15	
3a	Managing conflict	E	50	12	25
3b	IFRS 38	D	50	13	
4a	Project management techniques	B	50	12	25
4b	Project team composition	B	50	13	
					100

Marking guidance

Task 1		
(a)	E. Manage internal and external stakeholders	40%
(b)	C. Manage performance and costs to aid value creation	60%

E. Manage internal and external stakeholders (10 marks)		40%
1ai - Analyse how each of the proposals would impact relevant stakeholders and how they should be managed		10 marks
	No rewardable material	0
Level 1	Some discussion of stakeholders, but few are considered and/or application is lacking. No discussion of management.	1-3
Level 2	Analysis of some stakeholders with some application and some consideration of management.	4-7
Level 3	Analysis of a range of stakeholders with full application and stakeholder management considerations.	8-10

C. Manage performance and costs to aid value creation (15 marks)		**60%**
1bi - An explanation of the issues that should be considered when designing these performance indicators		**7 marks**
	No rewardable material	0
Level 1	Some discussion of NFPIs but little application or consideration of the issues.	1-2
Level 2	Some discussion of a few of the issues of NFPIs but limited application.	3-4
Level 3	Fully applied explanation of a range of difficulties when designing NFPIs.	5-7
1bii - Recommending, with reasons, some suitable performance indicators for the Customer Relations department that are aligned with the company's objectives		**8 marks**
	No rewardable material	0
Level 1	Some NFPIs are given, but little explanation and no application given.	1-3
Level 2	Some NFPIs with reasonable explanation but little application.	4-5

Level 3	Several NFPIs recommended with strong explanations and full application.	6-8

Task 2		
(a)	D. Measure performance	40%
(b)	A. Evaluate opportunities to add value	60%

D. Measure performance (10 marks)		40%
2ai - Identifying and evaluating three major business risks associated with the low-cost housing proposal and how best to manage them		10 marks
	No rewardable material	0
Level 1	Some risks are identified, but they are not well-explained or applied to the scenario, and there is little or no discussion of how to manage them.	1-3
Level 2	Three risks are identified and explained, with some evaluation but limited attempts to manage the risks.	4-7
Level 3	Three key risks are evaluated and applied to the scenario, and methods for managing each are discussed.	8-10

A. Evaluate opportunities to add value (15 marks)	60%

2bi - Discuss whether the low-cost housing proposal is aligned with Flatthall's business model		7 marks
	No rewardable material	0
Level 1	Some discussion of business models but limited application to Flatthall.	1-2
Level 2	Discussion of Flatthall's business model but limited application to the scenario.	3-4
Level 3	Well-reasoned discussion of proposal's alignment with Flatthall's business model.	5-7
2bii - Suggest sources of data that could be used to make an informed decision regarding this proposal		**8 marks**
	No rewardable material	0
Level 1	Some sources of data discussed but limited application.	1-3
Level 2	Some sources of data discussed with application to the decision.	4-6
Level 3	A range of data sources proposed with well-reasoned arguments regarding their application to this decision.	7-8

Task 3		
(a)	E. Manage internal and external stakeholders	50%
(b)	D. Measure performance	50%

E. Manage internal and external stakeholders (12 marks)		50%
3ai - Recommending, with reasons, suitable approaches for addressing the conflict in the Property Portfolio division		12 marks
	No rewardable material	0
Level 1	Some conflict management methodologies are discussed but with no application to the scenario,	1-4
Level 2	Some conflict management methodologies are discussed with some application to the scenario,	5-9
Level 3	A range of conflict management methodologies are discussed with full application to the scenario,	10-12

D. Measure performance (13 marks)	50%

3bi - Explain how Flatthall's brand name will be treated in our financial statements		**7 marks**
	No rewardable material	0
Level 1	Some discussion of intangible assets and brand names with limited application to the scenario. Answer may lack clarity.	1-2
Level 2	Fairly clear explanation of intangible assets relating to brand names with limited application to the scenario.	3-4
Level 3	Clear explanation of how Flatthall's brand name will be treated in the financial statements.	5-7
3bii - Explain how Flatthall's recent app creation costs will be treated in financial statements		**6 marks**
	No rewardable material	0
Level 1	Some discussion of intangible assets and app creation with limited application to the scenario. Answer may lack clarity.	1-2
Level 2	Fairly clear explanation of intangible assets relating to app creation costs with limited application to the scenario.	3-4
Level 3	Clear explanation of how Flatthall's app creation costs will be treated in the financial statements.	5-6

Task 4		
(a)	B. Implement senior management decisions	50%
(b)	B. Implement senior management decisions	50%

B. Implement senior management decisions (12 marks)		50%
4ai - Explaining the attached project management information and what this means for the project, as well as any changes you might recommend		12 marks
	No rewardable material	0
Level 1	Some discussion of resource histograms but limited application to the scenario. No recommendation made.	1-4
Level 2	Some discussion of the scenario diagram but limited analysis of the information provided. Limited recommendation made.	5-9
Level 3	In-depth explanation of the scenario diagram and accompanying notes and their implications, and well-reasoned recommendations made.	10-12

B. Implement senior management decisions (13 marks)	50%

4bi - A recommendation for the composition of the project team, identifying the departments that should be represented and explaining their inclusion		**7 marks**
	No rewardable material	0
Level 1	Project teams discussed but with limited application to the scenario and no specific recommendation made.	1-2
Level 2	Project teams discussed with application to the scenario, but recommendation is unclear or lacks reasoning.	3-4
Level 3	Well-reasoned recommendation for the composition of the project team has been made.	5-7
4bii - Analyse the roles of a project sponsor and a project manager and explain whether Monga should take on either role		**6 marks**
	No rewardable material	0
Level 1	Roles of the project sponsor and manager are entirely theoretical and are not very clear.	1-2
Level 2	Roles of the project sponsor and manager are somewhat applied and reasonably clear. Limited consideration of Monga's role.	3-4
Level 3	Roles of the project sponsor and manager are applied and clear, and Monga's role has been logically examined.	5-6